

SMOKY MOUNTAIN CPAS · FREE GUIDE

The Shopify Store Owner's Bookkeeping Checklist

The exact monthly routine that keeps your books clean, your sales tax handled, and your pay-yourself number clear. Built by two CPAs who do this every day for ecommerce sellers.

Smoky Mountain CPAs

Two Licensed CPAs · Big Four Trained · We don't file taxes, we keep your books ready for whoever does.

Why Shopify books break

A Shopify payout is not revenue. That \$10,000 that hits your bank already had fees, refunds, and sales tax pulled out before it reached you. If you record the deposit as income, three numbers are already wrong: your revenue, your fees, and your sales tax liability. Multiply that by a year and your books tell a story that isn't true. This checklist fixes that, one month at a time.

Every month, in order

- ☐ Reconcile every bank and credit card account to its actual statement, not to memory.
- ☐ Break each Shopify payout into its real parts: gross sales, refunds, processing fees, and sales tax collected. Never book the net deposit as income.
- ☐ Match merchant deposits (Shopify, Stripe, PayPal, Amazon) to the sales they came from.
- ☐ Record cost of goods sold, so your profit is real and not just revenue minus expenses.
- ☐ Categorize every expense to the right account, and stop miscoding owner money as an expense.
- ☐ Separate owner draws from business expenses. They are not the same and your taxes depend on it.
- ☐ Review your sales tax collected vs. what's due in each state you have nexus in.
- ☐ Produce a P&L and balance sheet, and actually read them.

The payout trap. If your "income" in QuickBooks matches your Shopify deposits to the penny, your books are almost certainly wrong. Clean books show gross sales higher than deposits, with fees and refunds broken out.

Sales tax, inventory, and paying yourself

Sales tax you actually owe

- ☐ Know which states you have nexus in (where you sold enough to owe tax). It's not just your home state.
- ☐ Check whether the marketplace already remitted it. Shopify doesn't, but Amazon, Etsy, and Walmart often do.
- ☐ Track tax collected as a liability, money you're holding for the state, not income.
- ☐ File and pay on each state's schedule so you're never surprised.

Inventory that reflects reality

- ☐ Record inventory as an asset when you buy it, and move it to cost of goods sold when it sells.
- ☐ Reconcile your inventory value at least quarterly so your balance sheet isn't fiction.

Pay yourself first

- ☐ Open separate accounts for Profit, Owner's Pay, Taxes, and Operating Expenses.
- ☐ Every time money comes in, move set percentages into each account before you spend.
- ☐ Pay yourself from Owner's Pay on a schedule, so "what can I take home" is a number you can see, not a guess.

The one number most owners can't answer: how much did you actually pay yourself last month? If clean books and a cash system are set up right, that answer is one glance away, any day of the week.

Red flags & what to do next

Signs your books need attention

- ☐ Your bank balance and your bookkeeping don't agree and you're not sure which is right.
- ☐ Sales tax feels like a guess.
- ☐ Your Shopify "income" matches your deposits exactly (the payout trap above).
- ☐ You're not sure how much you can safely pay yourself this month.
- ☐ Last time your tax preparer asked a question, you had to dig through statements to answer.
- ☐ "Clean it up later" has been on a list for more than three months.

If two or more of those landed

It's worth a real look. That's exactly what our In-Depth Diagnostic Review is for: two licensed CPAs go inside your actual QuickBooks and tell you the truth about your books, in writing and on a recorded video walkthrough. It's \$497, one time, and it's credited in full toward your first month if you decide to work with us. No commitment, 30-day money-back guarantee.

Two ways to take the next step:

See the Diagnostic Review → smokymtncpas.com/diagnostic/

Or book a free 30-minute call → smokymtncpas.com

Questions? Call us at (865) 312-1203.

Clean books. Cash clarity. Built for Shopify.

Smoky Mountain CPAs · Two Licensed CPAs, Big Four trained · We keep your books tax-ready all year and work alongside your tax preparer. We do not file tax returns.